Apollo Micro Systems Ltd

CONCALL TRACKER Defence & aerospace electronics - Hyderabad | Screener: APOLLO / BSE 540879 | Quarter: Q1 FY27 (Apr-Jun 2026) | Report date: 6 Nov 2026

1. Snapshot

What the business does (in one line): Apollo Micro Systems designs and builds the electronic and electro-mechanical "brains" inside India's home-made weapons - missiles, torpedoes, naval mines, air-defence systems - and sells them to government defence bodies (DRDO = Defence Research & Development Organisation) and defence public-sector firms (Bharat Dynamics/BDL, Bharat Electronics/BEL, the Navy). It is now buying explosives makers so it can build whole weapons itself, not just their electronics.

Number (latest)	Value	Plain-English read
Market value	Rs 15,332 cr	What the whole company is worth on the stock market today.
Share price / P/E	Rs 414 | 107x	Investors pay about 107 rupees for every 1 rupee of yearly profit - still a very rich, priced-for-perfection tag.
Sales, last 12 months (standalone, to Jun 2026)	Rs 868 cr	Total yearly sales of the core business - about 30% above a year earlier.
Net profit, last 12 months (standalone)	Rs 144 cr	Final yearly profit - still growing faster than sales.
Operating margin, Q1 FY27	31%	Out of every Rs 100 of sales, Rs 31 is operating profit before interest, tax and depreciation (EBITDA) - a record high for a June quarter.
Operating cash flow, FY26	minus Rs 153 cr	The business still burns cash: profit is on paper, money is stuck in stock and unpaid bills (cash cycle ~512 days).
Promoter holding (Jun 2026)	49.98%	The founders now own just under half, diluted by the large new share issue used to fund acquisitions.

2. Concall coverage

Quarter	Call date	Transcript read?
Q3 FY25 -> Q3 FY26 (5 calls)	Feb 2025 - Feb 2026	Carried forward from Q4-2026 report
Q4 FY26 (prior boundary)	19 May 2026	Carried forward from Q4-2026 report
Q1 FY27 (latest)	**8 Aug 2026**	**Newly deep-read in full ★**

Only the Q1 FY27 call was read in full this quarter; the earlier history comes from the prior (Q4-2026) report. Seven calls in all, spanning about 1.75 years. A later Q2 FY27 call (Oct 2026) exists but is outside this report's window and was not used.

★ Latest concall highlights - Q1 FY27 (8 Aug 2026)

- **Best-ever June quarter, but core growth slowed.** Standalone sales Rs 156 cr, up only 17% on last year; profit Rs 28 cr, up 43%; operating margin 31%, profit margin 18% (both record). Read: margins are climbing nicely, but the core business grew far slower than the 40-45% management promises for the year.
- **Group sales Rs 251 cr, up 88%**, mostly because the bought explosives arm IDL (Ideal Explosives) is now inside the numbers. Group profit Rs 25 cr, up 43%. Read: the headline jump is largely acquisition, not organic.
- **Big new deal: buying 41.33% of Premier Explosives for ~Rs 1,550 cr in cash**, plus an open offer to public shareholders, funded by a ~Rs 3,300 cr share issue. Read: Apollo gets its own rocket-propellant and explosives maker - a bold step toward building complete weapons, and a big bet with shareholders' money.
- **Naval-mine (MIGM) approval finally came.** The government defence council (DAC) cleared it; Navy enquiry expected within weeks, order expected Dec 2026 / Jan 2027. Total budget ~Rs 3,500 cr, Apollo hopes for

~70% of it, with a 20% advance; execution from FY28 over ~3 years. Read: the long-slipping flagship order has cleared its biggest hurdle - but it is still not a signed order.

- **Guidance and tone.** Reaffirmed 40-45% yearly growth (standalone and group, excluding exports); no margin guidance. Order book Rs 1,224 cr standalone / Rs 1,704 cr group, expected to reach Rs 3,500-4,000 cr by March 2027 if QRSAM / MIGM orders land. Tone: very confident and deal-hungry ("2-3 more acquisitions", "keep a watch on the stock").

Business mix & capacity (quick facts)
Domestic vs exports: ~100% domestic - management said export revenue is currently nil; exports wait for the new Unit-3 plant. Read: every rupee of sales today comes from Indian defence buyers.
Capacity: No utilisation % given ("not a product company"). Unit-3 (about 8x today's capacity) has started first-phase production; full operation now targeted "before March 2027" - later than the June 2026 date given earlier. Read: lots of headroom is coming, but a few quarters later than promised.

★ Since our last report

Builds on the **Q4-2026 report** (boundary call 19 May 2026). Prior verdicts: **Trigger YES**, **Consistency MAYBE**.

Prior read	What we said then	What the new call shows	Movement
Earning trigger	Programmes moving from development to bulk production; order book Rs 1,432 cr	Record margins (31%), order book steady; bigger orders (QRSAM, MIGM, Akash-NG, Pinaka) lined up for FY27 and production from FY28	**Confirmed**
Consistency	Honest but unreliable on dates	Same pattern: some wins (MIGM approval, IDL profit) but Unit-3 and pledge dates slipped again	**On-track (still Mixed)**
Naval-mine order	Awaiting DAC sign-off, kept slipping	DAC approval received; order now expected Dec/ Jan	**Improving**
IDL turnaround	Loss-making; EBITDA-positive guided by Q3 FY27	EBITDA-positive in Q4 FY26, slightly profit-positive in Q1 FY27; "fully positive" from FY28	**Improving**
Promoter pledge to zero	Missed; pushed to FY27	Came down in June quarter, but now "another 1 year" - by Q1 FY28	**Slipping**
Unit-3 fully running	By June 2026	First phase producing; full operation "before March 2027"	**Slipping**
45-50% growth guidance	FY26 missed at ~36%	Guidance now 40-45%; Q1 standalone only +17%	**Slipping (early in year)**

Verdict change this quarter: both verdicts **unchanged**. The trigger got stronger on paper (approvals cleared, a big acquisition), and management kept some promises, but two more dated promises slid, so consistency stays at Maybe.

3. Earning-trigger thesis

The core trigger: a deep foothold in India's missile & naval programmes now moving into bulk production - and a push to build whole weapons

Apollo supplies electronics to almost every home-made Indian missile. A wave of these programmes is heading into large production orders: QRSAM air defence (Apollo content above Rs 1 cr per missile, first phase 1,000 missiles), Akash-NG (similar content, 1,000 units), Pinaka rockets (~Rs 85 lakh per unit, 2,000 units) and the MIGM naval mine (~70% of a Rs 3,500 cr budget). Management expects one or more of these as orders by March 2027 and execution from FY28. On top, it is buying explosives makers (IDL done, Premier Explosives agreed) so it can make complete weapons. Evidence it is real: margins keep rising (31% in Q1) and profit is

growing faster than sales. The weak spot: this quarter's core sales growth was soft, and the big orders are still expected, not signed.

Trigger	What management said	Evidence so far	Time horizon	Strength	Change since last report
Programmes moving to bulk production (QRSAM, Akash-NG, Pinaka, MIGM)	Orders this FY; order book to Rs 3,500-4,000 cr; production from FY28	MIGM DAC approval in; QRSAM bidding done; margins at record 31%	Orders FY27, revenue FY28+	**Strong**	↑ improving - key approval cleared
Premier Explosives + IDL (full weapon maker)	Own propellant and explosives; faster production, better margin than outsourcing	Premier deal signed, open offer pending; IDL just turned slightly profitable	1-3 yrs	**Moderate**	↑ scope expanded, but untested and costly
New products (smart bombs/IPREC, ASW drone vessel, mines, autonomy)	"Humongous" market; orders after ~18-month prototypes	Make-II sanctions won; safety device handed to Navy; aerial bombs accepted	FY28-FY29	**Unproven**	New this quarter
Unit-3 capacity + exports	8x capacity; sizeable export orders next FY	First phase running; export revenue nil	FY28+	**Moderate**	↓ slightly - plant later than promised

4. Management consistency scorecard

Period	What was promised	What actually happened	Verdict
Every call to FY26	45-50% yearly standalone growth	FY26 ~36%	**Missed**
Every call	15% net-profit margin	FY26 16%; Q1 FY27 18%	**Delivered**
2025-May 2026	Large naval-mine order "any moment"	DAC approval came by Aug 2026; order still pending (now Dec/Jan)	**Partly**
2025-May 2026	IDL to turn EBITDA-positive	EBITDA-positive Q4 FY26, small profit Q1 FY27	**Delivered**
Feb 2025-May 2026	Promoter pledge to zero (FY26, then FY27)	Reduced, but now Q1 FY28 - third deadline	**Missed (again)**
May 2026	Unit-3 fully running by June 2026	Now "before March 2027"	**Missed (delayed)**
Aug 2026	40-45% growth in FY27	Q1 standalone +17%; rest of year must carry it	**Too-early**

Narrative drift: The direction is steady - same programmes, same "development to production, then full weapon maker" story - and margins keep being delivered. But the story is getting bigger and more deal-driven each quarter: a second explosives acquisition, a large share issue, "2-3 more acquisitions", autonomy and smart bombs, with talk of watching the stock. The pattern of dates sliding (pledge, Unit-3, big orders) continues. Honest about misses, still loose on timing.

5. Bottom line - two verdicts

Durable earning trigger? YES (vs last quarter: unchanged)

What moved: the flagship naval-mine order cleared government approval and the QRSAM bidding is done, so the next wave of bulk production is closer to real orders. Record margins show the mix is improving. The trigger is concrete and live; the risks are timing (revenue from these orders mostly starts FY28), a soft quarter of core growth, and the money now being spent on acquisitions.

Management consistent? MAYBE (vs last quarter: unchanged)

What moved: two promises improved (MIGM approval, IDL profit) while two more slipped (Unit-3 timing, pledge-to-zero now on its third deadline), and the first quarter of FY27 started well below the 40-45% growth guidance. Management delivers the big picture and margins but keeps missing dates, and the tone has become noticeably more promotional. Still Maybe.

Watch-outs (not verdicts): very rich valuation (~107x earnings); heavy cash burn and a ~512-day cash cycle; borrowings up to Rs 489 cr at FY26; large dilution to fund Premier; promoter pledge still not cleared; growth this year depends on big orders landing on time.

Sources: Screener.in financial snapshot; Apollo Micro Systems Q1 FY27 earnings call transcript (8 Aug 2026); prior Q4-2026 concall-tracker report (six calls, Feb 2025 - May 2026). Figures as stated by the company/Screener; standalone vs group noted where they differ. Acronyms: DAC = Defence Acquisition Council; MIGM = Multi-Influence Ground Mine; QRSAM = Quick Reaction Surface-to-Air Missile; Make-II = industry-funded defence prototype route. This is not investment advice. Do your own due diligence.